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CASE NAME: Infobeans, Inc. v. Grays Peak Capital GP LLC, et al.

1. Defendant Grays Peak Capital GP LLC's Demurrer to First Amended Complaint; and
2. Defendant Grays Peak Capital GP LLC's Motion to Strike Portions of Plaintiff's First Amended Complaint

TENTATIVE RULING

The Court OVERRULES Defendant Grays Peak Capital GP LLC's Demurrer to First Amended Complaint.

The Court DENIES Defendant Grays Peak Capital GP LLC's Motion to Strike Portions of Plaintiff's First Amended Complaint

Defendant Grays Peak Capital GP LLC must file and serve an Answer to the First Amended Complaint within 10 calendar days of this order.

Plaintiff is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a breach of contract action. On October 3, 2024, plaintiff Infobeans, Inc. (Plaintiff) filed this action against defendants Grays Peak Capital GP LLC (Grays Peak), Scott Stevens (Stevens) (collectively, Defendants), and Does 1 through 50, alleging causes of action for breach of contract, quantum meruit, unjust enrichment, promissory estoppel, and intentional misrepresentation.

On April 24, 2026, after the Court granted Grays Peak's motion for judgment on the pleadings to the Fifth Cause of Action for intentional misrepresentation with leave to amend, Plaintiff filed the operative First Amended Complaint (FAC) against the same Defendants and alleging the same causes of action.

On May 26, 2026, Grays Peak demurred to and moved to strike portions of the FAC. On June 10, 2026, Plaintiff opposed both motions. On June 16, 2026, Grays Peak replied to both oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, *supra*, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the “face of the complaint” itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The “face of the complaint” includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 [“[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits”].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

DISCUSSION – Demurrer

Meet and Confer

The Court finds Grays Peak's efforts to meet and confer before filing the Demurrer sufficient. (*Pearl Decl.*, ¶ 4; Code Civ. Proc., § 430.41, subd. (a).)

Fifth Cause of Action – Intentional Misrepresentation

To state a cause of action for intentional misrepresentation, the plaintiff must allege facts demonstrating: “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations.]” (*Lazar v. Superior Ct.* (1996) 12 Cal.4th 631, 638 (*Lazar*).) “In California, fraud must be pled specifically; general and conclusory allegations do not suffice. Thus the policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect. This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Id.* at p. 645, internal quotation marks, paragraph mark, and citations omitted, italics in original.)

Grays Peak demurs to the Fifth Cause of Action for intentional misrepresentation on the grounds that it fails to state facts sufficient to constitute a cause of action and is uncertain. Grays Peak contends this cause of action is derivative of the contract claim, barred by the economic loss rule, and still lacks the requisite specificity. Grays Peak contends Plaintiff's

alleged fraud damages are indistinguishable from Plaintiff's contract damages and that the FAC alleges no duty independent of the contract. Grays Peak contends Plaintiff fails to specify who made the statement, when, where, and with what authority, but instead lumps the Defendants together. Grays Peak contends the Court knows Plaintiff previously abandoned the claims against Stevens and only one Defendant is at issue in this matter. Grays Peak contends Plaintiff's allegations of knowledge and deliberate indifference are conclusory and unsupported by facts. Grays Peak also contends Plaintiff continues to provide allegations on information and belief. Grays Peak argues that subsequent non-payment or later-arising financial difficulties do not establish fraudulent intent at inception, that the FAC relies heavily on alleged assurances regarding anticipated funding and government grants, that the FAC concedes Plaintiff continued to perform services for months after Defendants allegedly failed to pay invoices, and that the FAC also fails to establish knowledge or scienter with any specific supporting facts.

In opposition, Plaintiff contends the FAC pleads intentional misrepresentation with particularity by identifying the speakers, dates, mediums, and content of the misrepresentations. Plaintiff contends to identify the specific individuals who made the representations, their roles within Defendant's organization, when the statements were made, and the substance of those statements. Plaintiff contends it has not abandoned its claims against Stevens, who remains a named defendant. Plaintiff recites allegations from the FAC and contends these are sufficiently particular.

Plaintiff then argues that the FAC adequately alleges falsity, knowledge of falsity, and intent to defraud. Plaintiff contends to allege that Defendant's representations concerning available budget, confirmed grant funding, imminent payment, and available funding were false when made, and that Defendant knew these representations were false when made or were recklessly made without any reasonable basis for believing them to be true. Plaintiff contends to allege that Defendants repeatedly represented that funding had been secured or confirmed while continuing to solicit Plaintiff's services and while failing to make payment, and argues that the FAC alleges then-existing facts, not representations about the future. Plaintiff then argues the FAC adequately alleges reliance and damages by alleging Plaintiff relied on Defendant's representations by entering into the agreement, continuing to perform services, allocating personnel and resources to the project, refraining from pursuing collection remedies, and continuing to extend credit to Defendant, as well as alleging \$339,500.00 in unpaid invoices and other costs.

Plaintiff further contends the FAC adequately alleges that Plaintiff's reliance was justifiable based on Defendant repeatedly assuring Plaintiff that payment was imminent, that government funding had been approved, and that payment delays were temporary. Plaintiff contends the FAC alleges Plaintiff's reliance on Defendant's representations were reasonable in light of Defendants' repeated, specific, and ongoing assurances of imminent payment and funding. Plaintiff also contends the economic loss rule does not bar this claim because Plaintiff's claim is not based merely on Defendant's failure to perform under the agreement, but rather the FAC alleges a series of intentional misrepresentations and false promises made both before and after the parties entered into the agreement. Plaintiff additionally contends the Demurrer for uncertainty should be overruled because the Demurrer does not identify any allegation that is ambiguous, unintelligible, or incapable of being answered.

The Court finds the FAC alleges sufficient facts to state a cause of action for intentional misrepresentation. The FAC identifies various persons who represented Grays Peak during negotiations, the time frame in which these persons made representations on Grays Peak's behalf, the substance of those representations, including Grays Peak's ability to timely pay, and that Grays Peak knew it had not yet secured reliable funding to meet those payment obligations. (FAC, ¶¶ 39-42.) The Court finds these allegations sufficiently specific. (*Lazar v. Superior Ct.* (1996) 12 Cal.4th at p. 645.) "[T]he courts should not... seek to absolve the defendant from liability on highly technical requirements of form in pleading. Pleading facts in ordinary and concise language is as permissible in fraud cases as in any others, and liberal construction of the pleading is as much a duty of the court in these as in other cases." (*Appollo Capital Fund, LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 242.)

Economic Loss Rule

Under the economic loss rule, conduct amounting to breach of contract cannot give rise to a tort claim unless plaintiff pleads and proves harm above and beyond a broken contractual promise. *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 989. When a contract is fraudulently induced, the economic loss rule does not bar a cause of action for fraud. (*Id.* at 989-990.)

The FAC alleges facts indicating that Grays Peak made misrepresentations about its ability to make timely payments in an effort to induce Plaintiff to enter into the contract, and that Plaintiff reasonably relied on these representations to its detriment. (FAC, ¶¶40-42, 50.) These allegations of fraudulent inducement are sufficient to exempt the fraud claim from the economic loss rule. The holding in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 did not change this.

As for Grays Peak's argument that Plaintiff is only proceeding against Grays Peak and has abandoned its claims against Stevens, that argument is unavailing. The FAC names Stevens along with Grays Peak as Defendants and alleges facts against both Defendants. (See generally, FAC.) The Court is limited on a demurrer to the allegations in the pleading or matters subject to judicial notice. (Donabedian, *supra*, 116 Cal.App.4th at p. 994.)

Based on the foregoing, the Court **OVERRULES** the Demurrer to the Fifth Cause of Action.

LEGAL STANDARD – Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e)." (Code Civ. Proc., § 435, subd. (b)(2).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Id., § 436.)

PRELIMINARY ISSUE – Motion to Strike

Defendant's reply correctly notes that Plaintiff's opposition incorrectly describes the fraud pleading standard set forth in *Lazar v. Superior Ct.* (1996) 12 Cal.4th 631, which provides that fraud must be pleaded with specificity, not generally as Plaintiff represented it to be. (See Opp. to Motion to Strike, 3:12.) The Court will give Plaintiff the benefit of the doubt, but nevertheless admonishes Plaintiff to be more cautious when citing legal authorities going forward.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds Grays Peak's efforts to meet and confer before filing the Motion to Strike sufficient. (Pearl Decl., ¶ 4; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Consequential Damages

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64.)

Grays Peak seeks to strike Plaintiff's claims for consequential damages and punitive damages. Grays Peak contends Plaintiff's request for punitive damages is not supported by sufficient factual allegations and alleges no facts showing conduct independent of the alleged breach, fraudulent intent at the time of contracting, and not ratification from an officer, director, or managing agent. Grays Peak contends the FAC's punitive damages allegations are entirely derivative of a straightforward contract dispute, which is not a proper basis for punitive damages. Grays Peak contends the FAC improperly attributes conduct to Defendant, despite the action proceeding against a single entity.

In opposition, Plaintiff contends the FAC pleads specific facts supporting fraud and punitive damages, including the identities of the speakers, their roles, when the statements were made, and their content. Plaintiff contends the FAC alleges a sustained course of false assurances over a period of time claiming secured or imminent grant funding, despite the absence of any such funding. Plaintiff contends Defendant incorrectly frames this as a mere contract dispute and contends that Plaintiff alleges Defendants made false pre-contract representations to induce execution of the agreement and continued false post-contract assurances to prolong performance and avoid payment. Plaintiff alleges that Defendants knew they had not secured reliable funding sufficient to meet their payment obligations or were reckless regarding that fact. Plaintiff contends the FAC adequately alleges managing agent involvement and ratification, as it alleges Stevens personally made the misrepresentations at issue and another party, Bridges, is alleged to have acted as a partner and authorized representative of the entity. Plaintiff also contends consequential damages are properly pled. Plaintiff further contends Defendant misapplies the pleading standard for punitive damages, and that Plaintiff need only allege ultimate facts.

The Court finds the FAC alleges sufficient facts to support Plaintiff's claim for punitive damages. For the reasons set forth above regarding the Demurrer, the FAC alleges sufficient facts to state a cause of action for intentional misrepresentation. Moreover, as Plaintiff correctly argues, the FAC alleges Stevens and Bridges, both partners and high-level management agents of Grays Peak, made many of the alleged misrepresentations at issue. (FAC, ¶¶ 39-44.)

With respect to the consequential damages claim in the prayer for relief, Grays Peak provided no substantive arguments as to why that portion of the FAC should be stricken. (See generally, Motion; Reply.) The Court therefore declines to strike that portion of the FAC. (See Cal. Rules of Court, rule 3.1113, subd. (a) ["The court may construe the absence of a memorandum as an admission that the motion or special demurrer is not meritorious and cause for its denial and, in the case of a demurrer, as a waiver of all grounds not supported"].)

Based on the foregoing, the Court DENIES the Motion to Strike.

CONCLUSION

The Court OVERRULES Defendant Grays Peak Capital GP LLC's Demurrer to First Amended Complaint.

The Court DENIES Defendant Grays Peak Capital GP LLC's Motion to Strike Portions of Plaintiff's First Amended Complaint

Defendant Grays Peak Capital GP LLC must file and serve an Answer to the First Amended Complaint within 10 calendar days of this order.

Plaintiff is ordered to give notice of the Court's ruling within five calendar days of this order.